

Q1 WELCOME TO THE 2018 CHRO SURVEY!

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in consultation with the following CHROs:

[INSERT CHROs]

Instructions:

The purpose of this survey is to assess how today's CHROs, allocate their time among competing demands and constituencies and to identify the challenges they face in their roles.

This year we are additionally focusing on CEO experience and expertise in HR and the CHROs relationship with the Board of Directors. Our hope is to be able to provide CHROs with data regarding the key leverage points in which they can help to increase effectiveness in these and other areas, particularly regarding interfaces with the Board of Directors. Please answer the following questions to the best of your ability. On the open ended questions, we request that you provide enough detail to ensure that we know what you mean, for example, instead of "talent" you might be more specific and say "identifying the right executive level talent", or "making sure we have enough bench strength among our executive team". However, answering some of these questions may be time consuming, so in the interest of your own time, **feel free to skip questions where you do not feel you have any particular insights to share.** In addition, feel free to skip any questions that you are not comfortable answering.

All your answers are confidential, and will be seen only by the researchers administering the survey. In addition, no data will be released that is not aggregated across all of the respondents. Quotes from open-ended questions will never be attributed to individuals and any potentially identifying information will be stripped before quoting. The survey should take between 15 and 30 minutes, and you are free to quit at any point in the survey. A copy of the study results will be sent to all respondents.

If you have any questions, please contact Patrick Wright at patrick.wright@moore.sc.edu.

SECTION 1: CHRO and HR Demographics

QUESTION 2:

Age _____

QUESTION 3:

Sex

- ☐ Male (1)
- ☐ Female (2)

QUESTION 4:

Race

- ☐ White (1)
- ☐ Black or African American (2)
- ☐ Asian (3)
- ☐ Hispanic or Latino (4)
- ☐ American Indian or Alaska Native (5)
- ☐ Native Hawaiian or Other Pacific Islander (6)
- ☐ Other (please specify) (7) _____

QUESTION 5:

How many full time HR employees does your company have? _____

QUESTION 6:

What is the budget for your HR department? \$_____

SECTION 2: CHRO Interactions with the Executive Leadership Team (ELT)

QUESTION 7:

Over the course of an average fiscal year, what percentage of your time would you say you spend in each of the following roles?

_____ Strategic Advisor to the Executive Team (activities focused specifically on the formulation and implementation of the firm's strategy): (1)

_____ Counselor/confidant/coach to the Executive Team (activities focused on counseling or coaching executive team members or resolving interpersonal or potential conflicts among team members): (2)

_____ Liaison to the Board of Directors (preparation for Board meetings, phone calls with Board members, attendance at Board meetings): (3)

_____ Talent Strategist/Architect (activities focused on building and identifying the human capital critical to the present and future of the firm): (4)

_____ Leader of the HR Function (working with HR team members regarding the development, design and delivery of HR services): (5)

_____ Workforce Sensor (activities focused on identifying workforce engagement/morale issues or concerns and building employee engagement): (6)

_____ Representative of the Firm (activities with external stakeholders, such as government agencies, investor groups, proxy advisory firms, professional societies, etc.): (7)

_____ Other - Please specify (8)

QUESTION 8:

To whom do you directly report?

- ☐ Chief Executive Officer (1)
- ☐ Chief Operating Officer (2)
- ☐ Chief Administrative Officer (3)
- ☐ Chief Financial Officer (4)
- ☐ Chief Legal Officer / General Counsel (5)
- ☐ Other (please specify) (6) _____

QUESTION 9:

What are your CEO's top 2 or 3 priorities for you as the CHRO?

Priority 1 (1)

Priority 2 (2)

Priority 3 (3)

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QUESTION 10:

Please describe the extent to which you agree with the following statements about the Executive Leadership Team (ELT).

	Strongly agree (1)	Agree (2)	Neither agree or disagree (3)	Disagree (4)	Strongly disagree (5)
There is a great deal of trust among members of the ELT (1)	☐	☐	☐	☐	☐
Members of the ELT work together as a team (2)	☐	☐	☐	☐	☐
The members of the ELT are cooperative with each other (3)	☐	☐	☐	☐	☐
ELT members know that they can depend on each other (4)	☐	☐	☐	☐	☐
The members of the ELT stand up for each other (5)	☐	☐	☐	☐	☐
The members of the ELT regard each other as friends (6)	☐	☐	☐	☐	☐

QUESTION 11:

How would you characterize individual ELT members' working relationship with your CEO?

	Not applicable (1)	Extremely ineffective (2)	Worse than average (3)	Average (4)	Better than average (5)	Extremely Effective (6)
President/Chief Operating Officer (1)	☐	☐	☐	☐	☐	☐
Chief Financial Officer (2)	☐	☐	☐	☐	☐	☐
Chief Human Resource Officer (3)	☐	☐	☐	☐	☐	☐
Chief Marketing Officer (4)	☐	☐	☐	☐	☐	☐
Chief Legal Officer / General Counsel (5)	☐	☐	☐	☐	☐	☐
Chief Information Officer (6)	☐	☐	☐	☐	☐	☐
Other (Please specify)_____ (7)	☐	☐	☐	☐	☐	☐
Other (Please specify)_____ (8)	☐	☐	☐	☐	☐	☐
Other (Please specify)_____ (9)	☐	☐	☐	☐	☐	☐

QUESTION 12:

Please describe the role, if any, that you play in counseling/coaching the ELT? _____

SECTION 3: CEO Succession Planning

QUESTION 13:

Do you, or have you used an external consultant in CEO succession?

- ☐ Yes (If yes, branch to next questions)
- ☐ No (If no, the following questions do not apply)

QUESTION 13a:

What were the benefits or advantages of using an external consultant in CEO succession?

QUESTION 13b:

What were the drawbacks or disadvantages of using an external consultant in CEO succession?

QUESTION 14:

What percentage of the CEO succession candidate pool is considered diverse in terms of gender and race?

	Percent female (1)	Percent racially diverse (2)
Immediate successors (0-3 years) (Immediate)		
Longer term successors (3-5 years) (Long Term)		

QUESTION 15:

How does the diversity of your internal CEO succession candidate pool compare to your organization's diversity goals?

- ☐ Falls extremely short (1)
- ☐ Falls short (2)
- ☐ Meets (3)
- ☐ Exceeds (4)
- ☐ Far exceeds (5)

QUESTION 16:

How does the current diversity level of your CEO succession candidate pool compare to the pool 5 years ago?

- ☐ Greatly decreased (1)
- ☐ Decreased (2)
- ☐ Same (3)
- ☐ Increased (4)
- ☐ Greatly increased (5)

SECTION 4: CEO Expertise and Decision Making

QUESTION 17a:

How knowledgeable is the CEO about the company's overall HR policies and practices?

- ☐ Extremely Knowledgeable (5)
- ☐ Very informed (4)
- ☐ Well informed (3)
- ☐ Somewhat informed (2)
- ☐ Weakly informed (1)

QUESTION 17b:

How knowledgeable is the CEO about the HR policies and practices of major competitors?

- ☐ Extremely Knowledgeable (5)
- ☐ Very informed (4)
- ☐ Well informed (3)
- ☐ Somewhat informed (2)
- ☐ Weakly informed (1)

QUESTION 18:

Does the CEO have a bachelor's or above college degree in HR, labor relations, or industrial relations?

- ☐ Yes.
- ☐ No.

QUESTION 19a:

Does the CEO have any prior work experiences in HR?

- ☐ Yes (If yes, branch into the following questions)
- ☐ No (If no, the following questions do not apply)

QUESTION 19b:

If yes, how many years of work experience in HR does the CEO have?

- ☐ Less than 1 year (1)
- ☐ 1 to 4 years (2)
- ☐ 5 to 9 years (3)
- ☐ 10 to 19 years (4)
- ☐ 20 years or more (5)

QUESTION 19c:

Was the CEO's prior HR experiences at the executive-level?

- ☐ Yes.
- ☐ No.

QUESTION 20a:

Which of the following statements best describes the importance that the CEO perceives HR to be for your firm?

- ☐ Considers HR as the single most critical factor for the firm (6)
- ☐ Considers HR as one of the vital parts of competitive strategy (5)
- ☐ Considers HR to be vital for smooth functioning of operations (4)
- ☐ Considers HR to be one of the many ways to cut costs in the firm (3)
- ☐ Considers HR to be the concern of HR practitioners, not managers, but is supportive of HR (2)
- ☐ Has little concern for the potential value of HR (1)

QUESTION 20b:

Which of the following statements best describes the importance that the CEO perceives HR to be for your firm?

- ☐ Views HR as a strategic investment (3)
- ☐ Views HR as a resource to be allocated fairly across organizational units (2)
- ☐ Views HR as an expense to be controlled (1)
- ☐ Open ended comment _____

QUESTION 21a:

How often does the CEO get personally involved in matters related to HR within the firm?

- ☐ Daily (5)
- ☐ Weekly (4)
- ☐ Monthly (3)
- ☐ A few time a year (2)
- ☐ Less than once a year (1)

QUESTION 21b:

How frequent are informal contacts between the CEO and you and/or your HR team about specific HR issues?

- ☐ Daily (5)
- ☐ Weekly (4)
- ☐ Monthly (3)
- ☐ A few time a year (2)
- ☐ Less than once a year (1)

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QUESTION 22:

To what extent do you agree with the following statements about the CEO's decision making behaviors?

	Strongly disagree (1)	Disagree (2)	Somewhat disagree (3)	Neither agree nor disagree (4)	Somewhat agree (5)	Agree (6)	Strongly agree (7)
The CEO double-checks information sources to be sure he or she has the right facts before making decisions. (1)	☐	☐	☐	☐	☐	☐	☐
When making a decision, the CEO considers various options in terms of a specific goal. (2)	☐	☐	☐	☐	☐	☐	☐
When the CEO makes decisions, he or she tends to rely on intuition. (3)	☐	☐	☐	☐	☐	☐	☐
When the CEO makes a decision, it is more important for him or her to feel the decision is right than to have a rational reason for it. (4)	☐	☐	☐	☐	☐	☐	☐
The CEO often needs the assistance of other people when making important decisions. (5)	☐	☐	☐	☐	☐	☐	☐
The CEO rarely makes important decisions without consulting other people. (6)	☐	☐	☐	☐	☐	☐	☐
The CEO avoids making important decisions until the pressure is on. (7)	☐	☐	☐	☐	☐	☐	☐
The CEO generally makes important decisions at the last minute. (8)	☐	☐	☐	☐	☐	☐	☐
The CEO makes quick decisions. (9)	☐	☐	☐	☐	☐	☐	☐
The CEO often makes impulsive decisions. (10)	☐	☐	☐	☐	☐	☐	☐
The CEO creates unnecessary work for others. (11)	☐	☐	☐	☐	☐	☐	☐
The CEO makes decisions with limited information. (12)	☐	☐	☐	☐	☐	☐	☐

QUESTION 23:

In what ways do you help the CEO make better decisions? _____

SECTION 5: Executive Tenure**QUESTION 24:**

How long has the CFO (and you the CHRO) been in the following: Time in position: 3 months = .25 years
6 months = .5 years 9 months = .75 years 3 years and 6 months = 3.5 years

	Time in current CFO/CHRO position (1)	Time in any CFO/CHRO position (2)	Time in the Finance/HR profession (round to nearest year) (3)
CFO (CFO)			
CHRO (CHRO)			

QUESTION 25:

How did the CEO, CFO, and you (the CHRO) get promoted into their current role?

	Internal (from within function) (1)	Internal (from different function) (2)	Direct external hire (3)	Indirect external hire (hired with the expectation of promotion in less than 24 months) (4)
CEO (CEO)	☐	☐	☐	☐
CFO (CFO)	☐	☐	☐	☐
CHRO (CHRO)	☐	☐	☐	☐

SECTION 6: Board of Directors Characteristics**QUESTION 26:**

Please select the response that best describes your company.

- ☐ A public company with a board of directors (Branch to subsequent questions) (1)
- ☐ A private company with a board of directors or an equivalent group (Branch to subsequent questions) (2)
- ☐ A private company with no board or equivalent (Does not branch to subsequent questions) (3)
- ☐ Other (please specify) _____ (Does not branch to subsequent questions) (4)

QUESTION 27:

How many members comprise your board of directors? _____

QUESTION 28:

How does the diversity of the board compare to the goals the board has for organization's diversity?

- ☐ Falls extremely short (1)
- ☐ Falls short (2)
- ☐ Meets (3)
- ☐ Exceeds (4)
- ☐ Far exceeds (5)
- ☐ It has no goals

QUESTION 29:

What efforts is the board taking to increase the diversity of its directors?

QUESTION 30:

Does your company's CEO also serve as Chairman of the Board (or its equivalent)?

- ☐ Yes, the CEO serves as the Chairman of the Board. (1)
- ☐ No, the CEO DOES NOT serve as the Chairman of the Board. (2)

QUESTION 31:

Think about the perspective of the CEO. From the CEO's perspective, to what extent does the...

	Not at all (1)	Slight extent (2)	Moderate extent (3)	Great extent (4)	Very great extent (5)
Board Chair monitor the CEO's strategic decision making? (1)	☐	☐	☐	☐	☐
Board Chair formally evaluate the CEO's performance? (2)	☐	☐	☐	☐	☐
Board Chair defer to the CEO's judgment on final strategic decisions? (3)	☐	☐	☐	☐	☐
CEO solicit the Board Chair's advice in the formulation of corporate strategy? (4)	☐	☐	☐	☐	☐
Board Chair act as a "sounding board" on strategic issues? (5)	☐	☐	☐	☐	☐
Board Chair provides advice and counsel in discussions outside of Board/committee meetings (by telephone or in person)? (6)	☐	☐	☐	☐	☐
Board Chair operate at arms length (or at a distance) from the CEO? (7)	☐	☐	☐	☐	☐
Board Chair facilitate the relationship between the CEO and the Board? (8)	☐	☐	☐	☐	☐
CEO characterize the working relationship with the Board Chair as effective? (9)	☐	☐	☐	☐	☐

QUESTION 32:

To what extent do you think the CEO and the Board Chair trust each other?

- ☐ Not at all (1)
- ☐ Slight extent (2)
- ☐ Moderate extent (3)
- ☐ Great extent (4)
- ☐ Very great extent (5)

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QUESTION 33:

Think about the relationship between the CEO and the Board Chair (or its equivalent). To what extent do you think their relationship is collaborative?

- ☐ Not at all (1)
- ☐ Slight extent (2)
- ☐ Moderate extent (3)
- ☐ Great extent (4)
- ☐ Very great extent (5)

QUESTION 34:

Please describe the extent to which you agree with the following statements about the Board.

	Strongly agree (1)	Agree (2)	Neither agree or disagree (3)	Disagree (4)	Strongly disagree (5)
There is a great deal of trust among members of the Board (1)	☐	☐	☐	☐	☐
Members of the Board work together as a team (2)	☐	☐	☐	☐	☐
The members of the Board are cooperative with each other (3)	☐	☐	☐	☐	☐
Board members know that they can depend on each other (4)	☐	☐	☐	☐	☐
The members of the Board stand up for each other (5)	☐	☐	☐	☐	☐
The members of the Board regard each other as friends (6)	☐	☐	☐	☐	☐

QUESTION 35:

To what extent does the Board's existing degree of expertise and competence meet the company's needs with regard to each of the following domains?

	Completely insufficient (1)	Insufficient (2)	The right amount (3)	Excessive (4)	Extremely Excessive (5)
Strategy / strategic planning (1)	☐	☐	☐	☐	☐
Corporate leadership (2)	☐	☐	☐	☐	☐
Risk Management (3)	☐	☐	☐	☐	☐
Finance and Accounting (4)	☐	☐	☐	☐	☐
Cybersecurity (5)	☐	☐	☐	☐	☐
Operations (6)	☐	☐	☐	☐	☐
Technology (7)	☐	☐	☐	☐	☐
International business (8)	☐	☐	☐	☐	☐
Government affairs / public policy (9)	☐	☐	☐	☐	☐
Legal affairs (10)	☐	☐	☐	☐	☐
Human resources (11)	☐	☐	☐	☐	☐
Social media (12)	☐	☐	☐	☐	☐
Data analytics (13)	☐	☐	☐	☐	☐

SECTION 7: CHRO Interactions with the Board of Directors**QUESTION 36:**

Over the course of an average fiscal year, what percentage of your time would you say that you spend working with the Board of Directors (or its equivalent) on the following?

- _____ Executive Pay Issues: (1)
 _____ CEO Succession Issues: (2)
 _____ CEO Performance Issues: (3)
 _____ Other Senior Executive Talent/Succession Issues: (4)
 _____ Other Senior Executive Performance Issues: (5)
 _____ Ethics/Compliance/Governance Issues: (6)
 _____ Risk Management: (7)
 _____ Activist Investors: (8)
 _____ Other - Please Specify (9)

QUESTION 37:

If the categories listed above do not describe how you spend your time or if there is substantial overlap in categories, please provide clarification or context. _____

QUESTION 38a:

On average, how many times per year do you present to, or hold discussions with, the board of directors? _____

QUESTION 38b:

On average, how many times per year do you present to the board of directors on, or formally discuss with the board, CEO succession? _____

QUESTION 38c:

On average, how many times per year do you meet with directors outside of the board room?

_____ Individually

_____ In small groups (e.g. 2-3 directors)

_____ In larger groups or with the full board

QUESTION 38d:

What percentage of your presentations to, or discussions with, the board of directors regarding **CEO succession** are conducted without the CEO in the board room? _____

QUESTION 38e:

On topics other than CEO succession, what percentage of your presentations to, or discussions with, the board of directors are conducted without the CEO in the board room?

QUESTION 38f:

Please describe the role, if any, that you play in counseling/coaching the Board? _____

QUESTION 39:

Are you involved in board succession?

- ☐ Yes (If yes, branch into the following question)
- ☐ No (If no, the following question does not apply)

QUESTION 39a:

Please describe your role in board succession _____

QUESTION 40a:

On average, how many meetings per year does the board discuss CEO succession? _____ out of the total of _____ meetings

QUESTION 40b:

On average, at how many meetings per year does the board discuss CEO succession without the CEO present? _____ out of _____ meetings

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QUESTION 41a:

Of your board members, allocate them into the following categories by noting how many have each of the following levels of **experience** in HR:

- ☐ _____ Career HR Professional who achieved senior level status in HR (e.g, CHRO) (5)
- ☐ _____ Not a career HR professional, but did spend significant time in HR (i.e. 4 years or greater) (4)
- ☐ _____ Not a career HR professional, but did a role in HR (2-4 years) (3)
- ☐ _____ Not a career HR professional but did spend a year or less in an HR rotation (2)
- ☐ _____ Not a career HR professional, and has no experience in HR (1)

QUESTION 41b:

Of your board members, allocate them into each of the following categories by noting their **expertise** (note, not their experience) regarding HR:

- _____ Deep knowledge of most aspects of HR (5)
- _____ Some knowledge of most aspects of HR (4)
- _____ Some knowledge of a few aspects of HR (3)
- _____ A little knowledge of a few aspects of HR (2)
- _____ Little or no knowledge of any aspects of HR (1)

QUESTION 42a:

Of your board members, allocate them into each of the following categories by noting their appreciation for how to leverage you to help the board:

- _____ Deep appreciation for what I and HR can do to help the board (5)
- _____ Some appreciation for what I and HR can do to help the board (4)
- _____ Little appreciation for what I and HR can do to help the board (3)
- _____ No appreciation for what I and HR can do to help the board (2)
- _____ Negative attitudes about what I and HR can do to help the board (1)

QUESTION 42b:

Of your board members, allocate them into each of the following categories by noting their appreciation for how to leverage the HR function for the good of the organization:

- _____ Deep appreciation for what HR can do for the organization (5)
- _____ Some appreciation for what HR can do for the organization (4)
- _____ Little appreciation for what HR can do for the organization (3)
- _____ No appreciation for what HR can do for the organization (2)
- _____ Negative attitudes about what HR can do for the organization (1)

QUESTION 43a:

In what area(s) does the board best leverage you in their responsibilities as a board? _____

QUESTION 43b:

In what area(s) does the board fail to leverage you in their responsibilities as a board? _____